

ates, is more important to fund managers than it is to the rank-and-file investor. Fund management is a viciously competitive game, with the score posted daily. Which means a manager never has an easy year, even in bull markets, because if you're up 52 percent, somebody else is going to be up 53 percent, and you're still in second place.

Outside of professional athletes, it's hard to think of any other group that has to put up with as much statistical measurement in their lives. Lawyers, doctors, journalists, and other professionals don't have to face this constant, precise weighing of performance. Accountants don't go around proclaiming, "You know, of course, that I rank sixteenth of the two hundred and seventy-one accountants in this city." A professor isn't going to get a phone call from somebody who says, "Hey, last year you were the thirteenth-best English literature teacher in the United States and this year you slipped to eighteenth. What do you think is your problem?"

---

There's little evidence that the manager whose performance has been far above average over the last three years is going to maintain that record over the coming three years.

---

I suppose all this measuring is to be expected. Newspapers and magazines run tables of relative performance because performance is the only thing they can measure. If your only tool is a hammer, every problem looks like a nail. If you're trying to make a living commenting on mutual funds, what else is there to comment on?

Loyalty to a manager you trust is critical, because no one can give you top-of-the-heap performance year after year. In fact, one thing you can be certain of when it comes to performance is that it's not going to be the same next year. Guys who have done a terrible job